

FEDERAL MARITIME COMMISSION

DOCKET NO. 14-06

**SANTA FE DISCOUNT CRUISE PARKING, INC. d/b/a EZ
CRUISE PARKING; LIGHTHOUSE PARKING, INC.; and
SYLVIA ROBLEDO d/b/a 81st DOLPHIN PARKING**

v.

**THE BOARD OF TRUSTEES OF THE GALVESTON
WHARVES and THE GALVESTON PORT FACILITIES
CORPORATION**

**RESPONDENTS' OBJECTIONS TO COMPLAINANTS' PROPOSED SUPPLEMENTAL
FINDINGS OF FACT**

In accordance with the Honorable ALJ's August 30, 2022 Remand Reconsideration Scheduling Order, Respondent, The Board of Trustees of the Galveston Wharves, hereby sets forth its proposed Objections to Complainant's Proposed Findings of Fact:

Comp. Prop. Finding No. 1. The selective enforcement relevant to Respondent Wharves Board's violations of the Shipping Act began in September 2008 and continued through August 2014. (Resp. Corr. Br. (June 15, 2015)¹ at 21, fn.5 and 23, fn.6; Comp. App. 003 at 000016 - 019² (Murchison Affidavit), ¶¶ 13, 23, 26-27; Resp. Corr. PFF³ 99-100).

Objection: Respondent objects to this Proposed Finding on the following grounds:

¹ Resp. Corr. Br. (June 15, 2015) refers to the Corrected Brief of Respondents The Galveston Wharves and The Galveston Port Facilities Corporation, filed on June 15, 2015.

² Reference to Complainant's Remand Reconsideration Appendix shall be denoted by "Comp. App." followed by the appendix number. All Bates numbers referenced herein shall direct to new sequential Bates numbers designated in the appendix as "CX/R" followed by a six-digit number and positioned at the bottom-center of each page of the appendix.

³ Resp. Corr. PFF refers to Respondent's Corrected Proposed Findings of Fact, filed on June 15, 2015.

- a. This is not a factual statement but a legal finding without reference to the claims or issues relating to the alleged “selective enforcement” as Complainant raised a number of selective enforcement claims only prevailing on one such issue;
- b. To the extent that this refers to the issue of the Tariff applicable to limousines as defined in the Port’s various Tariffs over the years, the evidence before the Commission was not that these charges were not made against limousines as of September 2008, the month during which Hurricane Ike devastated Galveston Island and the Port. Evidence in the record makes clear that for several months due to this devastation no one was charged an access fee at the Port. Thereafter, when business resumed to normal for the Island the Port began to charge the fees again but due to the clerical error of a Port employee limousines as defined in the Tariff were not being charged. The exact beginning date is not clear and there is no evidence as to the exact time this started. It is clear that as of June 16, 2011 such fees were not being charged limousines. There is no evidence as to how many, if any, limousines actually used the terminals. Further, the fee not charged to limousines during the relevant time period was the per trip access fee. Other user fees were charged. See Respondents Proposed Findings of Fact (RPFF) Nos. 13-17, 22-30.

Comp. Prop. Finding No. 2. For the month of June 2011, Complainant 81st Dolphin paid \$400.00 in Access Fees to Respondent Wharves Board. (Comp. App. 004 at 000109, 000123; Comp. App. 005 at 000168).

Response: No objection, but Respondent does not admit that Complainant is entitled to reparations based on this amount.

Comp. Prop. Finding No. 3. For the months of June 2011 through June 2014, Complainant 81st Dolphin paid a total of \$17,008.00 in Access Fees to Respondent Wharves Board. (Comp. App. 004 at

000109 – 113, 000123 – 159; Comp. App. 005 at 000168 – 169; Comp. App. 006; Comp. App. 007; Comp. App. 008 at 000177 – 179).

Response: No objection, but Respondent does not admit that Complainant is entitled to reparations based on this amount.

Comp. Prop. Finding No. 4. For the month of July 2014, Complainant 81st Dolphin paid a total of \$768.00 in Access Fees to Respondent Wharves Board. (Comp. App. 004 at 000111, 000113, and 000160).

Response: No objection, but Respondent does not admit that Complainant is entitled to reparations based on this amount.

Comp. Prop. Finding No. 5. Respondent Wharves Board has been authorized by the City of Galveston to manage and control the Port of Galveston's wharf and terminal facilities. (Comp. App. 009 at 000181 (GALVESTON, TEX., CHARTER, art. XII, §§ 1-2) (designating Galveston Wharves as a "separate utility" of the City of Galveston to be managed by the Board of Trustees of the Galveston Wharves)).

Response: No objection.

Comp. Prop. Finding No. 6. The City of Galveston is a municipality that owns and operates a port, and therefore, the State has accorded the Wharves Board with the power to "construct, acquire, lease, improve, enlarge, extend, repair, maintain, replace, develop, or operate a port improvement or facility." (Comp. App. 010 at 000186 (TEX. TRANSP. CODE § 54.003(a))).

Response: No objection.

Comp. Prop. Finding No. 7. In December 2007, the Wharves Board promulgated Tariff Circular No. 6, which sets forth fees the Wharves Board charges for vehicular access to Respondent's Cruise

Terminal. (Comp. App. 001 at 000001 – 002 (Board of Trustees of the Galveston Wharves – Tariff Circular No. 6 (Item 111)(5th Revised Page 3-F and 3-G))).

Response: No objection.

Comp. Prop. Finding No. 8. The fees established by Tariff Circular No. 6 include—but are not limited to—Decal Fees and Access Fees. (Comp. App. 001 at 000001 – 002 (Board of Trustees of the Galveston Wharves – Tariff Circular No. 6 (Item 111)(5th Revised Page 3-F and 3-G))).

Response: No objection.

Comp. Prop. Finding No. 9. The Wharves Board charges Cruise Terminal users Access Fees for bringing their vehicles onto the Port's property. (Comp. App. 011 at 000194 (Audio Transcription of The Board of Trustees of the Galveston Wharves Special Finance Committee Meeting on September 22, 2014, at 8:18-19)).

Response: No objection.

Comp. Prop. Finding No. 10. The access fees imposed by the Wharves Board from December 17, 2007 through June 30, 2014 were as follows: (1) Bus, commercial passenger vehicle, or courtesy vehicle with seating capacity of greater than fifteen persons: \$50.00 per Access/Trip; (2) Commercial passenger vehicle, courtesy vehicle, shuttle or limousine with seating capacity of fifteen persons or more: \$20.00 per Access/Trip; (3) Commercial passenger vehicle, courtesy vehicle, or shuttle with seating capacity of up to fourteen persons: \$10.00 per Access/Trip; (4) Limousine or taxi and taxicabs with seating capacity of nine to fourteen persons: \$10.00 per Access/Trip; (5) Limousines with seating capacity of not more than eight persons: \$0.00 per Access/Trip; and (6) Taxi and taxicabs with seating capacity of not more than eight persons: \$0.00 per Access/Trip.

(Comp. App. 001 at 000001 (Board of Trustees of the Galveston Wharves – Tariff Circular No. 6 (Item 111)(5th Revised Page 3-F) at 3-F); IDRFF 50⁴ (Comp. App. 012 at 000219)).

Response: No objection as to what the Tariff states, except that the Tariff clearly reflects that decal fees are also required for users to access the terminals. RPFF No. 8.

Comp. Prop. Finding No. 11. In lieu of the Access/Trip fee, the access fees imposed by the Wharves Board from December 17, 2007 through June 30, 2014 on “Off-Port Parking Users,” including Complainant 81st Dolphin, was \$8.00 per month per parking space located in the Off-Port Parking User’s parking facility. (Comp. App. 001 at 000001 (Board of Trustees of the Galveston Wharves – Tariff Circular No. 6 (Item 111)(5th Revised Page 3-F) at 3-F, n. D)).

Response: No objection.

Comp. Prop. Finding No. 12. On May 12, 2014, the Special Finance Committee for the Wharves Board deliberated upon issues relating to cruise terminal parking, and placed two items on the agenda: (1) Parking Access Fees, and (2) Amendment to the Tariff. (Comp. App. 013 at 000272 – 287 (Audio Transcription of The Board of Trustees of the Galveston Wharves Special Finance Committee Meeting on 5/12/14)).

Response: No objection. At this stage, however, the relevance of this proposed fact is not apparent as the fee increases taken at that meeting are not in dispute or at issue in this proceeding.

Comp. Prop. Finding No. 13. On May 19, 2014, the Wharves Board adopted an amendment to the Tariff, which increased Access Fees charged for access to the Cruise Terminal, effective July 1, 2014. (Comp. App. 014 at 000300 – 302 (Minutes of the Regular Monthly Meeting of the Board of Trustees of the Galveston Wharves, Monday, May 19, 2014)).

⁴ “IDRFF” refers to the Findings of Fact from the Initial Decision on Remand (“IDR”), which are found on pages 20 through 35 of the IDR.

Response: No objection. At this stage, however, the relevance of this proposed fact is not apparent as the fee increases taken at that meeting are not in dispute or at issue in this proceeding.

Comp. Prop. Finding No. 14. Effective July 1, 2014, the access fees imposed by Respondent Wharves Board were as follows: (1) Charter bus owners and operators: \$60.00 Parking Fee; (2) Commercial passenger vehicle, courtesy vehicle, shuttle or limousine with seating capacity of fifteen persons or more: \$30.00 per Access/Trip; (3) Commercial Passenger Vehicle, courtesy vehicle, shuttle or limousine with seating capacity of less than fifteen persons: \$20.00 per Access/Trip; (4) Taxicabs with City of Galveston permit: \$0.00 per Access/Trip. (Comp. App. 002 at 000007 – 008 (Board of Trustees of the Galveston Wharves – Tariff Circular No. 6 (Item 111)(7th Revised Page 3-F and 3-G))).

Response: No objection. At this stage, however, the relevance of this proposed fact is not apparent as the fee increases taken at that meeting are not in dispute or at issue in this proceeding.

Comp. Prop. Finding No. 15. In lieu of the Access/Trip fee, effective July 1, 2014, “Off-Port Parking Users,” including 81st Dolphin, were subject to a monthly Access Fee equal to the amount of \$28.88 per parking space located in the Off-Port Parking User’s parking facility. Comp. App. 002 at 000007 (Board of Trustees of the Galveston Wharves – Tariff Circular No. 6 (Item 111)(7th Revised Page 3-F, n. D)); *see also* Comp. App. 014 at 000300 – 302 (Minutes of the Regular Monthly Meeting of the Board of Trustees of the Galveston Wharves, Monday, May 19, 2014 at p. 14)).

Objection: The record is clear that Complainant was never actually charged and never paid a \$28.88 access fee. This issue is not in dispute in this proceeding and not relevant to this remand.

Comp. Prop. Finding No. 16. Prior to adopting the Tariff changes that became effective on July 1, 2014, the Wharves Board conducted a study to determine what those changes should be. (Comp. App. 015 at 000344 – 346 (Depo. M. Mierzwa at 142:18 – 143:17, 145:25 – 146:13, and 151:23 – 152:2)).

Response: No objection.

Comp. Prop. Finding No. 17. Respondent Wharves Board consistently charged and collected the full amount of Access Fees required by the Tariff from Complainant 81st Dolphin between June 2011 and August 2014. (Comp. App. 001 at 000001 – 002; Comp. App. 002 at 000007 – 008; Comp. App. 004 at 000109 – 113, 000123 – 271; Comp. App. 005 at 000168 – 169; Comp. App. 006; Comp. App. 007; Comp. App. 008).

Response: No objection as to the stated facts but Respondent does not agree that this amount constitutes reparations to Complainant.

Comp. Prop. Finding No. 18. Respondent The Board of Trustees of the Galveston Wharves (the “Wharves Board”) charged Complainant 81st Dolphin \$400.00 per month for fifty parking spaces from June 2011 through December 2013. (Comp. App. 004 at 000109 – 153; Comp. App. 005; Comp. App. 006; Comp. App. 007).

Response: No objection as to the stated facts but Respondent does not agree that this amount constitutes reparations to Complainant.

Comp. Prop. Finding No. 19. Respondent Wharves Board charged Complainant 81st Dolphin \$768.00 per month for ninety-six parking spaces from January 2014 through July 2014. (Comp. App. 004 at 000110 – 111, 000113, 000154 – 160; Comp. App. 008).

Response: No objection as to the stated facts but Respondent does not agree that this amount constitutes reparations to Complainant.

Comp. Prop. Finding No. 20. Respondent Wharves Board admits that it charged certain Cruise Terminal users Access Fees less than what the Tariff required from December 17, 2007 through August 2014. (Comp. App. 003 at 000016 - 019 (Murchison Affidavit, ¶¶ 13, 23, 26-27); Resp. Corr. Br. (June 15, 2015) at 21, fn.5 and 23, fn.6; Resp. Corr. PFF 99-100; CRRO at 13).

Response: Objection, this misstates and incorrectly sets for the evidence cited in the records notes. This misstates the evidence and testimony of Mr. Murchison all of which speak for themselves. This argumentative proposed finding is not a statement of fact but an attempt to create an admission should the Port not object to it.

Comp. Prop. Finding No. 21. Respondent Wharves Board admits that it permitted limousines access to the Cruise Terminal without charging them Access Fees from September 2008 through August 2014. (Comp. App. 003 at 000016 - 019 (Murchison Affidavit, ¶¶ 13, 23, 26-27); Resp. Corr. Br. (June 15, 2015) at 21, fn.5 and 23, fn.6; Resp. Corr. PFF 99-100; CRRO at 13).

Response: Objection, this misstates and incorrectly sets for the evidence cited in the records notes. This misstates the evidence and testimony of Mr. Murchison all of which speak for themselves. This argumentative proposed finding is not a statement of fact but an attempt to create an admission should the Port not object to it. Further, there is no evidence as to how many, if any, limousines actually used the terminals. Further, the fee not charged to limousines during the relevant time period was the per trip access fee. Other user fees were charged. See Respondents Proposed Findings of Fact (RPFF) Nos. 13-17, 22-30.

Comp. Prop. Finding No. 22. The Wharves Board acknowledged that, as of September 22, 2014, they “still [had] enforcement issues” regarding Access Fees. (Comp. App. 011 at 000194 – 195 (Audio Transcription of The Board of Trustees of the Galveston Wharves Special Finance Committee Meeting on 9/22/14, at 8:22 – 9:10)).

Response: Objection, this misstates and incorrectly sets for the evidence cited in the records notes. This misstates the evidence and testimony of Mr. Murchison and the alleged transcript of board meetings, all of which speak for themselves. This argumentative proposed finding is not a statement of fact but an attempt to create an admission should the Port not object to it. Further, there is no evidence as to how many, if any, limousines actually used the terminals. Further, the fee not charged to limousines during the relevant time period was the per trip access fee. Other user fees were charged. See Respondents Proposed Findings of Fact (RPFF) Nos. 13-17, 22-30.

Comp. Prop. Finding No. 23. The Tariff in effect from June 16, 2011 through June 30, 2014 required Complainant 81st Dolphin and limousines accessing the Cruise Terminal to purchase annual decals for each vehicle accessing the Cruise Terminal at a cost of \$10.00 per vehicle per year. (Comp. App. 001 at 000001 – 002; IDRFF 50).

Response: No Objection.

Comp. Prop. Finding No. 24. Effective July 1, 2014, and extending beyond July 31, 2014, the Tariff established a variable cost for the annual decals, but still required Complainant 81st Dolphin and limousines accessing the Cruise Terminal to purchase annual decals for each vehicle accessing the Cruise Terminal. (Comp. App. 002 at 000007; IDRFF 65-66).

Response: The Tariff speaks for itself as the best evidence on this issue. There is no evidence that Complaints paid a higher decal fee than limousines. RPFF Nos. 8-13.

Comp. Prop. Finding No. 25. Throughout all times relevant to the reparations period (June 16, 2011 through July 31, 2014), Complainant 81st Dolphin and limousines were all charged decal fees pursuant to the governing Tariff for each vehicle accessing the Cruise Terminal. (Resp. Br. in Resp. to Comp. Am. Br. on Reparations on Remand at 8).

Response: No Objection.

Respectfully submitted,

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ATTORNEYS FOR THE BOARD OF TRUSTEES OF THE
GALVESTON WHARVES

CERTIFICATE OF SERVICE

I hereby certify that I electronically filed this document on this **31st day of October, 2022**, and that a true and correct copy of the foregoing was served on all counsel of record *via* email, as indicated below:

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